Canada Bread Company, Limited

Interim Report to Shareholders

for the **First Quarter** ended March 31, 2003



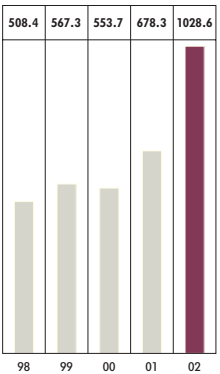
Delivering Results



Quarterly Financial Information

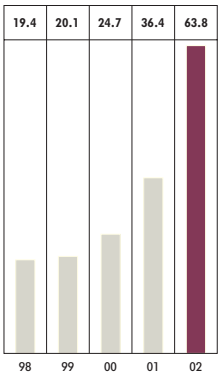
The following is a summary of unaudited quarterly financial information for the quarter ended March 31, 2003, and the years ended December 31, 2002 and 2001 (millions of dollars except per share amounts). In accordance with changes in generally accepted accounting principles, effective January 1, 2002, the Company no longer amortizes goodwill, resulting in a positive impact on 2002 reported earnings. The 2001 (pro forma) numbers in this table have been re-stated to take into account this change.

2003	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	YTD
Sales	$ 309	$ —	$ —	$ —	$ —
Earnings from operations, before unusual items	14	—	—	—	—
Earnings from operations	7	—	—	—	—
Net earnings before unusual items	8	—	—	—	—
Net earnings	3	—	—	—	—
Net earnings per share before unusual items	0.34	—	—	—	—
Net earnings per share	0.14	—	—	—	—
2002					
Sales	$ 231	$ 256	$ 273	$ 269	$ 1,029
Earnings from operations	11	17	19	17	64
Net earnings	7	10	12	10	39
Net earnings per share	0.30	0.47	0.55	0.48	1.80
2001					
Sales	$ 137	$ 148	$ 155	$ 238	$ 678
Pro forma earnings from operations	7	8	10	15	40
Pro forma net earnings	4	5	7	8	24
Pro forma net earnings per share	0.19	0.21	0.33	0.39	1.12



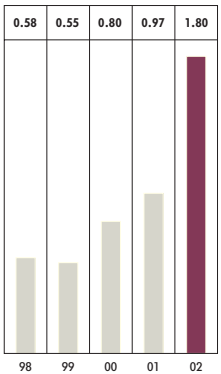
SALES
(millions of dollars)

Sales surpassed the $1 billion mark.



EARNINGS FROM OPERATIONS
Before unusual items
(millions of dollars)

Strong earnings reflects internal growth of 8% as well as contributions from acquisitions.



EARNINGS PER SHARE
Before unusual items
(dollars)

Earnings per share increased 61% over the prior year.

Report To Shareholders

Management's Discussion and Analysis

Sales for the quarter increased 33% to $309.0 million from $231.5 million for the prior year period. The increase in sales was primarily due to the contribution from recent acquisitions and internal growth driven by increased branded product sales.

Earnings from operations before unusual items increased 30% to $14.2 million from $10.9 million last year. During the quarter, the Company recorded a $7.4 million charge ($4.8 million, net of tax), against earnings related to the wind-down of its London, Ontario bakery and the restructuring of operations. Net earnings for the quarter of $3.3 million ($0.14 per share) included the impact of this restructuring charge. After adjusting for this charge, net earnings were $8.1 million ($0.34 cents a share) compared to $6.4 million last year ($0.30 cents a share). Interest expense for the quarter increased to $2.6 million from $0.9 million for the prior year period, due to higher debt levels arising from the acquisition of the Maple Leaf Foods bakery assets in the United States and the United Kingdom late in 2002.

"Our first quarter results reflect for the first time the combined performance of Canada Bread and Maple Leaf Bakeries, and we are very pleased with our early achievements," said Richard Lan, President and Chief Executive Officer. "We are delivering on our goal to integrate our recent acquisitions and drive out costs and inefficiencies, while growing the top line through product innovation and expanding our retail and food service accounts."

On January 30, 2003 Canada Bread issued four million treasury shares to Maple Leaf Foods at a price of $26.50 per share, increasing the total shares outstanding to 25.4 million compared to 21.4 million last year. While this diluted the earnings per share on a quarter-over-quarter basis, net proceeds of $106 million allowed the Company to pay down debt and strengthen its balance sheet, and provide additional resources to grow the business.

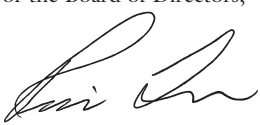
Earnings for the first quarter benefited from strong internal growth and from the contribution made by acquisitions, most notably Maple Leaf Foods' bakery operations. The Company continued to invest in its brands and in product development, and in the first quarter launched its new *Dempster's Stays Fresh to the Last Slice*™ bread, packaged in a unique *Cellofoil*™ bag. This product guarantees the consumer increased days of product freshness and great tasting bread.

The Company recently announced the closure of two bakeries, one in New Brunswick effective May 31, 2003 and the other in northern Quebec, effective June 27, 2003. The products currently produced at these plants, including rolls and sweet goods, will be transitioned to other Canada Bread bakeries. Also, during the quarter, the Company announced the closure of its London, Ontario bakery, resulting in increased capacity utilization and reduced costs as volume is transferred to existing facilities in Ontario and Quebec. In addition to this manufacturing restructuring, optimization of distribution routes and improvements in administration efficiencies continued in the Maritimes and Quebec. While most of the costs of these restructuring initiatives were either accrued as part of acquisition costs or included in the charge to earnings in this quarter, further restructuring will continue over the remainder of the year, which may result in further charges to earnings.

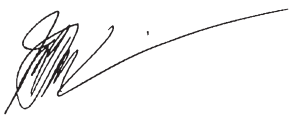
Increases in rising input costs experienced over the last few quarters have mostly been recovered through price increases in Canada, while cost recovery initiatives are still underway in the United States. The Company is adding an additional par-baked line at its bakery plant in Roanoke, Virginia, to meet the requirements of a new exclusive 10-year contract with a major North American food service chain.

The Company declared a dividend of $0.06 per share payable on July 2, 2003 to shareholders of record on June 13, 2003.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

April 30, 2003

Consolidated Balance Sheets

In thousands of Canadian dollars	As at March 31, 2003	As at March 31, 2002	As at December 31, 2002
ASSETS	*(Unaudited)*	*(Unaudited)*	
Current assets:			
Cash	**$ 6,943**	$ —	$ 12,389
Accounts receivable (note 3)	**47,956**	23,983	59,911
Due from related company	**—**	5,502	—
Inventories	**30,019**	20,117	30,512
Future tax asset	**8,304**	3,094	5,274
Prepaid expenses	**2,349**	1,676	2,490
	95,571	54,372	110,576
Property and equipment	**325,701**	246,330	334,606
Other long-term assets	**18,015**	6,825	3,098
Goodwill and other intangibles	**333,336**	126,980	346,083
	$ 772,623	$ 434,507	$ 794,363
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities:			
Bank indebtedness	**$ —**	$ 1,099	$ —
Accounts payable and accrued charges	**137,336**	82,190	157,578
Due to parent company	**8,924**	—	13,078
Dividends payable	**1,525**	1,285	1,285
Income and other taxes payable	**8,512**	2,134	11,862
Current portion of long-term debt	**7,066**	8,536	7,954
	163,363	95,244	191,757
Long-term debt	**162,905**	40,757	263,716
Future tax liability	**33,638**	37,863	34,179
Minority interest	**—**	4,474	—
Shareholders' equity	**412,717**	256,169	304,711
	$ 772,623	$ 434,507	$ 794,363

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Consolidated Statements of Earnings

In thousands of Canadian dollars, except per share amounts *(Unaudited)*	Quarter ended March 31, 2003	2002
Sales	**$ 308,992**	$ 231,496
Earnings from operations, before unusual items	**14, 185**	10,909
Unusual items (note 2)	**(7,422)**	—
Earnings from operations	**6,763**	10,909
Other income	**111**	27
Earnings before interest and income taxes	**6,874**	10,936
Interest expense	**2,578**	934
Earnings before income taxes	**4,296**	10,002
Income taxes	**978**	3,576
Earnings before minority interest	**3,318**	6,426
Minority interest	**—**	57
Net earnings for the period	**$ 3,318**	$ 6,369
Earnings per share (basic and diluted)	**$ 0.14**	$ 0.30
Dividends per share declared	**$ 0.06**	$ 0.06
Weighted average number of shares (millions)	**24.1**	21.4

Consolidated Statements of Retained Earnings

In thousands of Canadian dollars except per share amounts *(Unaudited)*	Quarter ended March 31, 2003	2002
Retained earnings, beginning of period	**$ 247,746**	$ 214,189
Net earnings for the period	**3,318**	6,369
Dividends declared ($0.06 per share; 2002 – $0.06 per share)	**(1,525)**	(1,285)
Retained earnings, end of period	**$ 249,539**	$ 219,273

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Cash Flows

In thousands of Canadian dollars *(Unaudited)*	Quarter ended March 31, 2003	2002
CASH PROVIDED BY (USED IN):		
Operating activities		
Net earnings for the period	**$ 3,318**	$ 6,369
Items not affecting cash:		
Depreciation	**9,552**	7,236
Minority interest	**—**	57
Future income taxes	**(3,571)**	(319)
Gain on sale of property and equipment	**(77)**	(27)
Change in non-cash operating working capital	**(12,044)**	(14,543)
	(2,822)	(1,227)
Financing activities		
Dividends paid	**(1,285)**	(1,285)
Increase (decrease) in long-term debt, net	**(101,699)**	4,180
Increase in share capital	**106,000**	—
	3,016	2,895
Investing activities		
Additions to property and equipment	**(5,780)**	(2,919)
Proceeds from sale of property and equipment	**140**	817
	(5,640)	(2,102)
Decrease in cash and cash equivalents for the period	**(5,446)**	(434)
Cash and cash equivalents, beginning of period	**12,389**	(665)
Cash and cash equivalents, end of period	**$ 6,943**	$ (1,099)

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Notes to Consolidated Financial Statements

(For the quarters ended March 31, 2003 and March 31, 2002)

1. Significant Accounting Policies

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2002. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2002.

2. Unusual Items

During the first quarter of 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million net of tax), related to the closure of its bakery in London, Ontario and certain other operational restructuring items of which approximately $5.0 million is included in accounts payable as at March 31, 2003.

3. Accounts Receivable

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At March 31, 2003, trade accounts receivable amounting to $50.0 million (March 31, 2002 – $44.6 million) had been sold under these programs.

4. Contingencies and Commitments

In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $17 million. The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.







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